D.R. Horton Inc.

Steady Hand in a Choppy Demand Environment

Although the housing backdrop remains fragile, we think DHI's execution is differentiated. Margin decline is less severe, leading to a lift to estimates and our PT. We still caution not to extrapolate, and valuation leaves limited scope for upside. PT to $140.

Reiterate EW: While we remain EW, we think that DHI maintains a remarkably steady hand operationally, supporting the long-term narrative of a steady undercurrent of market share gain, focus on de-centralized community operation, and skew toward needed affordable product. Tactically, the resulting margin resiliency could support DHI stock acting more defensive than some of our UW-rated homebuilder peers (LEN, TOL) in the coming months, although on an absolute basis we still struggle with a stock trading at >2x current TBV. We think DHI's execution underscores the solid print this quarter and these results certainly contrast peer LEN, although in the crosshairs of a choppy demand environment riddled with soft consumer confidence and persistently high rates, we remain cautious builders overall, especially as large cap builders still currently trade at an 80%+ premium to small/mid cap.

Further Thoughts: If there is a view that today's reported stabilization in incentives should be extrapolated, we caution that there is a seasonality to incentives that simply looks to have returned in 2026 (2025 was the aberration, when incentives rose every quarter). We think it would be optimistic to assume that we have peaked on incentives, especially with rates rising into the peak of the Spring, and the normal seasonality of incentives still likely to impact the 2H. In fairness, that DHI saw incentive stabilization during a choppy period of consumer sentiment was a positive surprise and may speak to the 'needs-based' first-time buyer and/or DHI's more affordable product positioning.

On gross margins, GM ex. the one-time litigation benefit still beat guidance by 20 bps at the top-end, as DHI seems to be able to preserve margin through selling earlier in the build cycle, among other things. We do still think there is a modest GM benefit to the increasing usage of ARM product (0 last year to 10% of volume this year), which transfers some of the cost burden from homebuilding to Financial Services (fin'l svcs missed our estimate by $20 mn). Positively, stick and brick costs at down -4% y/y offset lot costs up +4% y/y this quarter, with stick and brick costs expected to remain favorable through the remainder of this FY. The deceleration in lot cost inflation was most notable, and we would expect to be unique here to DHI given its quicker turn, while other builders are still likely to mix toward higher cost lots in the coming quarters. On the other hand, we do think there is risk that current inflation related to the Middle East conflict has

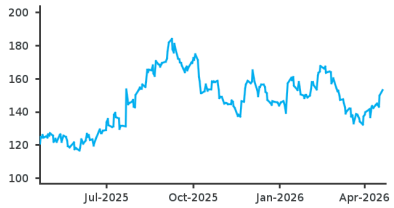
DHI	EQUAL WEIGHT Unchanged
U.S. Homebuilding & Building Products	POSITIVE Unchanged
Price Target	USD 140.00 raised 9% from USD 128.00
Price (20-Apr-26)	USD 153.34
Potential Upside/Downside	-8.7%

Source: Bloomberg, Barclays Research

Market Cap (USD mn)	44423
Shares Outstanding (mn)	289.70
Free Float (%)	89.98
52 Wk Avg Daily Volume (mn)	3.4
Dividend Yield (%)	1.17
Return on Equity TTM (%)	13.63
Current BVPS (USD)	82.60

Source: Bloomberg

Price Performance	Exchange-NYSE
52 Week range	USD 184.54-114.17



Source: IDC
Link to Barclays Live for interactive charting

U.S. Homebuilding & Building Products

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yet to work its way into DHI margins, with management suggesting this may be more of an FY'27 event (even on homes to be started soon that feel the pressure of diesel fuel surcharges).

Regionally, demand appeared mostly stable per management commentary, with some implied pressure in the West (software jobs, where DHI would have much less exposure). DHI expects community count to taper from +LDD to +MSD sometime in the next few quarters or next year. Separately, we think DHI positively continues programmatic share buybacks. On home size, DHI noted some opportunity for smaller lots in select regions like Texas, although there remains a floor to home size in terms of building optimally and from a regulatory perspective. Interestingly, DHI noted only +MSD exposure to land banking, a stark contrast to peer LEN - we think DHI's more moderate exposure and longstanding relationship with Forestar continue benefiting DHI's balanced approach for mitigating land risk and keeping the cost of lots reasonable.

Valuation: Our price target moves to $140, based on 1.6x P/TBV our YE'26e TBV of $85.52. We now expect FY'26/FY'27 gross margins of 20.0%/19.7% (prior 19.3%/19.2%).

DHI: Quarterly and Annual EPS (USD)

	2025	2026			2027			Change y/y	
FY Sep	Actual	Old	New	Cons	Old	New	Cons	2026	2027
Q1	2.61A	2.03A	2.03A	2.03A	2.13E	2.22E	2.08E	-22%	9%
Q2	2.58A	2.19E	2.24A	2.14E	2.54E	2.49E	2.54E	-13%	11%
Q3	3.36A	2.76E	3.03E	2.84E	2.99E	3.09E	3.37E	-10%	2%
Q4	3.04A	3.13E	3.23E	3.31E	3.40E	3.63E	3.79E	6%	12%
Year	11.57A	10.09E	10.50E	10.42E	11.00E	11.38E	12.08E	-9%	8%
P/E	13.3		14.6			13.5			

Consensus numbers are from Bloomberg received on 21-Apr-2026; 12:50 GMT
Source: Barclays Research

U.S. Homebuilding & Building Products | POSITIVE

D.R. Horton Inc. (DHI)

EQUAL WEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	34,251	33,584	35,132	N/A	N/A
EBITDA (adj)	4,999	4,283	4,463	N/A	N/A
EBIT (adj)	4,898	4,198	4,403	N/A	N/A
Pre-tax income	4,740	4,028	4,225	N/A	N/A
Net income	3,585	3,011	3,152	N/A	N/A
EPS (adj) ($)	11.57	10.50	11.38	N/A	N/A
Diluted shares (mn)	309.9	286.9	277.1	N/A	N/A
DPS ($)	1.60	1.80	1.80	N/A	N/A
Margin and return data	**2025A**	**2026E**	**2027E**	**2028E**	**Average**
EBITDA (adj) margin (%)	15.0	12.9	12.7	N/A	13.5
EBIT (adj) margin (%)	13.5	11.4	11.0	N/A	12.0
Pre-tax margin (%)	14.3	12.1	12.1	N/A	12.8
Net margin (%)	10.5	9.0	9.0	N/A	9.5
ROIC (%)	12.2	10.5	11.0	N/A	11.3
ROA (%)	10.1	8.5	8.8	N/A	9.1
ROE (%)	14.7	12.7	13.1	N/A	13.5
Balance sheet and cash flow ($mn)	**2025A**	**2026E**	**2027E**	**2028E**	**CAGR**
Cash and equivalents	2,985	3,575	2,812	N/A	N/A
Total assets	35,471	36,390	36,195	N/A	N/A
Goodwill	164	164	164	N/A	N/A
Short and long-term debt	5,671	6,279	5,679	N/A	N/A
Net debt/(funds)	2,685	2,705	2,867	N/A	N/A
Total liabilities	10,729	11,550	11,227	N/A	N/A
Shareholders' equity	24,190	24,267	24,395	N/A	N/A
Tangible book value	24,027	24,104	24,231	N/A	N/A
Inventories	25,287	25,594	26,065	N/A	N/A
Working capital	23,509	24,183	23,614	N/A	N/A
Cash flow from operations	3,421	3,280	2,980	N/A	N/A
Capital expenditure	-137	-105	-80	N/A	N/A
Free cash flow	3,284	3,175	2,900	N/A	N/A
Valuation and leverage metrics	**2025A**	**2026E**	**2027E**	**2028E**	**Average**
P/E (adj) (x)	13.3	14.6	13.5	N/A	13.8
EV/sales (x)	2.2	2.3	2.2	N/A	2.2
EV/EBITDA (adj) (x)	15.2	17.9	17.1	N/A	16.7
Equity FCF yield (%)	6.9	7.2	6.8	N/A	7.0
P/BV (x)	1.9	1.8	1.7	N/A	1.8
Dividend yield (%)	1.0	1.2	1.2	N/A	1.1
Net debt/capital (%)	5.0	7.2	7.7	N/A	6.6
Selected operating metrics	**2025A**	**2026E**	**2027E**	**2028E**	
Backlog ($mn)	10,785	12,130	13,895	N/A	
Number of orders	83,423.0	87,576.2	91,403.3	N/A	
Closed orders (k)	84,863	86,340	89,638	N/A	
Average closing price ($)	370	364	367	N/A	
Backlog price ($)	382	386	363	N/A	

Note: FY End Sep
Source: Company data, Bloomberg, Barclays Research

Price (20-Apr-2026)	**USD 153.34**
Price Target	**USD 140.00**

Why EQUAL WEIGHT?

While DHI's affordable entry-level product makes up the largest depths of demand, we think margins could face more near-term risks as higher for longer rates could drive stickier incentive pressure, and rising existing home inventory could drive flatter pricing, supportive of a more balanced risk/reward valuation.

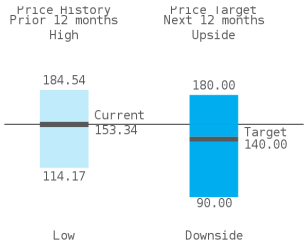
Upside case **USD 180.00**

Our upside case reflects potential positives including (1) stronger entry-level demand; (2) DHI is able to effectively navigate cost pressures in land & materials; (3) shareholder-friendly use of cash; (4) favorable SG&A leverage; (5) operating margin expansion.

Downside case **USD 90.00**

Our downside case reflects (1) weaker pricing power due to affordability constraints; (2) heightened competition for entry-level buyer segment; (3) cost pressures driving SG&A and/or gross margin compression; (4) multiple contraction due to softer demand.

Upside/Downside scenarios



2Q'26 Earnings Highlights

FIGURE 1. Key Metrics

2Q'26 Actuals	Reported	Barclays	Δ	Consensus	Δ	Guidance
Orders	24,992	26,030	(4%)	23,919	4%	
Y/Y	*11%*	*16%*		*7%*		
Closings	19,486	19,999	(3%)	19,953	(2%)	*19,700-20,200*
Y/Y	*1%*	*4%*		*4%*		
ASP ($ k)	$362	$365	(1%)	$362	0%	
Y/Y	*(3%)*	*(2%)*		*(3%)*		
HB Revenues ($ mn)	$7,046	$7,300	(3%)	$7,213	(2%)	*$7.3-7.8 bn*
Y/Y	*(2%)*	*2%*		*0%*		
Gross Margin (ex-charges)	20.1%	19.2%	+90 bps	19.1%	+100 bps	*19.0-19.5%*
Y/Y	*-170 bps*	*-260 bps*		*-270 bps*		
SG&A	9.2%	9.3%	-10 bps	9.1%	+10 bps	
Y/Y	*+30 bps*	*+40 bps*		*+20 bps*		
Share Repurchases ($ mn)	$904	$625	45%	-	-	
EPS	**$2.24**	**$2.19**	2%	**$2.14**	5%	

Source: Company Data, Barclays Research estimates, Bloomberg Consensus

FIGURE 2. Orders vs. Barclays Estimates

Orders	Actual 2Q'26	Y/Y %	BCI Est. 2Q'26	Y/Y %	Actual 2Q'25	Weighted Avg. Δ
Northwest	1,234	(11%)	1,571	13%	1,390	(1%)
Southwest	2,646	12%	2,774	17%	2,371	(0%)
South Central	6,821	14%	6,733	13%	5,958	0%
Southeast	5,734	11%	6,320	22%	5,180	(2%)
East	5,152	8%	5,515	16%	4,754	(1%)
North	3,405	22%	3,118	12%	2,784	1%
Total	24,992	11%	26,030	16%	22,437	(4%)

Source: Company Data, Barclays Research estimates

FIGURE 3. EPS vs. Barclays Estimates

DHI 2Q'26	2Q'26 Actual	2Q'26 Estimate	Per Share
EPS	$2.24	$2.19	$0.05
HB Revenues ($ mln)	7,046	7,300	($0.13)
GM % (ex-charges)	20.1%	19.2%	$0.18
SG&A %	9.2%	9.3%	$0.07
Land Profit / Gain on Sale ($ mln)	62	47	$0.04
Fin Services ($ mln)	52	72	($0.05)
Other Income ($ mln)	11	0	$0.03
GM Impairments ($ mln)	(26)	(4)	($0.06)
NCI ($ mln)	(10)	(7)	($0.01)
Tax Rate	(24%)	(24%)	$0.00
Share Count (mln)	289	288	($0.01)

Source: Company Data, Barclays Research estimates

Investment Summary and Conclusion

We rate D.R. Horton Equal Weight with a $140 Price Target

D.R. Horton is the largest homebuilder by closings (84,863 units in FY'25) and homebuilding revenues ($31.4 bn in FY'25). DHI operates in 126 markets across 36 states, with an estimated average local market share of ~15%, according to company slides.

By geography, DHI had ~24% of its '25 closings in the Southeast (AL, FL, LA, MS), ~26% in the South Central US (AR, OK, TX), ~21% in the East (GA, NC, SC, TN), ~11% in the Southwest (AZ, CA, HI, NV, NM), ~12% in the North, and ~6% in the Northwest. Entry-level homebuyers represent over ~50% of DHI's closings, above the peer average of 30%.

DHI controls ~575k lots, representing 6.9x years of land supply (based on TTM closings), which consists of ~23% owned land and ~77% optioned land. At a -1% net debt (net cash) to cap (FY'25), DHI is particularly well positioned, coming in at levels significantly below the peer average, and likely to improve further given our forecast for positive operating cash flow through 2025.

Our $140 price target reflects 1.6x our YE'26e book value of $85.52. Our prior price target of $128 was based on 1.5x our prior calendar YE'26 BV estimate of $84.73.

FIGURE 4. We est. 1Q/27 (CY'26) Tangible Book Value Per Share of $85.52.

Book Value Walk	($ mln)
F'2Q/26 Reported Book Value	$23,626
- Goodwill	-$164
= 2Q/26 Tangible Book Value	**$23,462**
Diluted Share Count (2Q/26)	289
= 2Q/26 Tangible Book Value Per Share	**$81.18**
+ Barclays DHI Net Income Est. 3Q/26 -1Q/27	$2,417
- Barclays Est. Cash Returned to Shareholders 3Q/26 -1Q/27	-$1,911
= 1Q/27 Tangible Book Value Est.	**$23,968**
Diluted Share Count (1Q/27)	280
= 1Q/27 Tangible Book Value Per Share Est.	**$85.52**

Source: Barclays Research Estimates, Company Data

FIGURE 5. Model Summary

D.R. Horton (Fiscal Year End)	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Total Revenue ($ mln)	$4,354	$6,259	$8,025	$10,824	$12,158	$14,091	$16,068	$17,593	$20,311	$27,774	$33,480	$35,460	$36,802	$34,251	$33,584	$35,132
Y/Y Chg. %	20%	44%	28%	35%	12%	16%	14%	9%	15%	37%	21%	6%	4%	(7%)	(2%)	5%
Pre-tax Income ($ mln)	$243	$658	$814	$1,123	$1,353	$1,602	$2,060	$2,129	$2,983	$5,356	$7,630	$6,313	$6,285	$4,740	$4,028	$4,225
Pre-tax margin	5.6%	10.5%	10.1%	10.4%	11.1%	11.4%	12.8%	12.1%	14.7%	19.3%	22.8%	17.8%	17.1%	13.8%	12.0%	12.0%
EPS	$2.66	$1.27	$1.46	$2.03	$2.36	$2.74	$3.81	$4.29	$6.41	$11.41	$16.51	$13.82	$14.34	$11.57	$10.50	$11.38
Tangible Book Value Per Share	$9.79	$11.03	$13.66	$15.63	$17.79	$20.18	$23.19	$26.30	$31.60	$40.66	$55.00	$66.41	$76.84	$80.79	$85.49	$88.47
Return on Equity	32.2%	12.4%	12.0%	14.3%	14.3%	14.5%	17.9%	17.5%	22.6%	32.1%	35.0%	22.9%	20.0%	14.7%	12.7%	13.1%
Homebuilding																
HB Revenues ($ mln)	$4,218	$6,025	$7,805	$10,470	$11,783	$13,653	$15,502	$16,925	$19,561	$26,503	$31,862	$31,641	$33,904	$31,432	$31,442	$32,858
Y/Y Chg. %	19%	43%	30%	34%	13%	16%	14%	9%	16%	35%	20%	(1%)	7%	(7%)	0%	5%
Gross Margin %	18.0%	20.6%	21.3%	19.8%	20.2%	20.0%	21.3%	20.2%	21.8%	25.5%	28.7%	23.5%	23.5%	21.5%	20.0%	19.7%
SG&A %	12.5%	10.8%	10.7%	9.7%	9.4%	8.9%	8.7%	8.8%	8.2%	7.4%	6.9%	7.1%	7.5%	8.3%	8.7%	8.7%
Unit Metrics																
Orders (units)	21,048	25,120	29,709	37,380	40,814	46,605	52,740	56,565	78,458	81,378	76,137	78,342	86,561	83,423	87,576	91,403
Y/Y Chg. %	21%	19%	18%	26%	9%	14%	13%	7%	39%	4%	(6%)	3%	10%	(4%)	5%	4%
Unit Deliveries (units)	18,890	24,155	28,670	36,648	40,309	45,751	51,857	56,975	65,388	81,965	82,744	82,917	89,690	84,863	86,340	89,638
Y/Y Chg. %	13%	28%	19%	28%	10%	14%	13%	10%	15%	25%	1%	0%	8%	(5%)	2%	4%
Deliveries - Average Selling Price ($000's)	$223	$249	$272	$286	$292	$298	$299	$297	$299	$323	$385	$382	$378	$370	$364	$367
Balance Sheet/Cash Flow																
Net-debt to Capital	26%	37%	34%	18%	18%	16%	11%	9%	0%	4%	6%	-3%	-1%	5%	7%	8%
Total Lot Count	153,000	180,900	184,000	174,000	205,000	249,000	288,500	307,300	376,900	530,300	573,200	568,400	632,900	591,900	593,569	607,278
Years Supply of Land (LTM)	8.1x	7.5x	6.4x	5.1x	5.1x	5.4x	5.6x	5.4x	5.8x	6.5x	6.9x	6.9x	7.1x	7.0x	6.9x	6.8x
Cash Flow from Operations ($ mln)	($289)	($1,231)	($661)	$700	$618	$435	$545	$896	$1,422	$534	$562	$4,302	$2,190	$3,421	$3,280	$2,980

Source: Barclays Research Estimates, Company Data

FIGURE 6. Quarterly Income Statement ($ mn)

D.R. Horton $ in millions, except per share data	2024 9/30/24	1Q 2025 12/31/24	2Q 2025 3/31/25	3Q 2025 6/30/25	4Q 2025 9/30/25	2025 9/30/25	1Q 2026 12/31/25	2Q 2026 3/31/26	3Q 2026E 6/30/26	4Q 2026E 9/30/26	2026E 9/30/26	1Q 2027E 12/31/26	2Q 2027E 3/31/27	3Q 2027E 6/30/27	4Q 2027E 9/30/27	2027E 9/30/27	1Q 2028E 12/31/27
Income Statement																	
Homebuilding:																	
Revenues	33,904	7,146	7,181	8,561	8,544	31,432	6,513	7,046	8,644	9,239	31,442	7,067	7,498	8,574	9,719	32,858	7,396
Cost of sales (as reported)	(26,021)	(5,534)	(5,644)	(6,744)	(6,888)	(24,809)	(5,192)	(5,654)	(6,928)	(7,418)	(25,192)	(5,692)	(6,017)	(6,880)	(7,799)	(26,387)	(5,949)
Gross Profit	7,883	1,612	1,537	1,818	1,657	6,623	1,321	1,391	1,717	1,821	6,250	1,375	1,482	1,694	1,920	6,471	1,447
S,G & A Expense	(2,553)	(637)	(638)	(670)	(679)	(2,623)	(633)	(649)	(701)	(741)	(2,723)	(685)	(686)	(711)	(779)	(2,861)	(714)
Direct Interest expensed	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Goodwill Write-off	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other income	108	30	17	36	19	102	17	11	-	-	28	-	-	-	-	-	-
Homebuilding Profit	**5,437**	**1,006**	**916**	**1,184**	**997**	**4,102**	**705**	**754**	**1,016**	**1,080**	**3,555**	**690**	**795**	**983**	**1,142**	**3,611**	**732**
Land Sales, Forestar & Rental:																	
Sales and Other	2,015	285	340	437	916	1,977	190	320	340	449	1,299	186	242	373	590	1,391	187
Cost of Sales	(1,479)	(229)	(262)	(344)	(783)	(1,618)	(155)	(258)	(282)	(383)	(1,077)	(109)	(163)	(289)	(479)	(1,040)	(106)
Forestar, Land, Rental Profit	**537**	**56**	**78**	**93**	**132**	**360**	**35**	**62**	**59**	**67**	**222**	**78**	**79**	**84**	**111**	**351**	**81**
Financial Services:																	
Revenues	883	182	213	228	218	841	185	193	230	236	843	200	205	228	248	882	210
G&A Expense	(672)	(154)	(160)	(171)	(166)	(652)	(145)	(160)	(169)	(176)	(650)	(153)	(158)	(166)	(182)	(659)	(158)
Interest Exp. and other income	101	21	20	25	24	89	18	19	10	10	57	10	10	10	10	40	10
Fin. Services Profit	**311**	**49**	**73**	**81**	**76**	**279**	**58**	**52**	**71**	**70**	**250**	**57**	**57**	**72**	**76**	**263**	**62**
Early Debt Retirement Chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Pre Tax Income	**6,285**	**1,110**	**1,067**	**1,358**	**1,205**	**4,740**	**798**	**867**	**1,145**	**1,217**	**4,028**	**825**	**931**	**1,140**	**1,328**	**4,225**	**874**
Income Taxes	(1,479)	(258)	(248)	(325)	(288)	(1,119)	(197)	(209)	(281)	(298)	(985)	(202)	(228)	(279)	(325)	(1,035)	(214)
Non-controlling interest	(50)	(7)	(9)	(9)	(12)	(36)	(7)	(10)	(7)	(8)	(32)	(11)	(10)	(8)	(9)	(38)	(12)
Net Income	**4,757**	**845**	**810**	**1,025**	**905**	**3,585**	**595**	**648**	**857**	**911**	**3,011**	**623**	**693**	**853**	**994**	**3,152**	**660**
Diluted EPS	**$14.34**	**$2.61**	**$2.58**	**$3.36**	**$3.04**	**$11.57**	**$2.03**	**$2.24**	**$3.03**	**$3.23**	**$10.50**	**$2.22**	**$2.49**	**$3.09**	**$3.63**	**$11.38**	**$2.43**
Diluted Share Count (AVG.)	332	323	314	305	297	310	293	289	283	282	287	280	278	276	274	277	272

Source: Barclays Research Estimates, Company Data

FIGURE 7. Annual Income Statement ($ mn)

D.R. Horton $ in millions, except per share data	2015 9/30/15	2016 9/30/16	2017 9/30/17	2018 9/30/18	2019 9/30/19	2020 9/30/20	2021 9/30/21	2022 9/30/22	2023 9/30/23	2024 9/30/24	2025 9/30/25	2026E 9/30/26	2027E 9/30/27
Income Statement													
Homebuilding:													
Revenues	10,470	11,783	13,653	15,502	16,925	19,561	26,503	31,862	31,641	33,904	31,432	31,442	32,858
Cost of sales (as reported)	(8,454)	(9,435)	(10,968)	(12,244)	(13,560)	(15,329)	(19,773)	(22,773)	(24,262)	(26,021)	(24,809)	(25,192)	(26,387)
Gross Profit	2,016	2,349	2,685	3,258	3,365	4,232	6,729	9,089	7,379	7,883	6,623	6,250	6,471
S,G & A Expense	(1,014)	(1,104)	(1,220)	(1,346)	(1,482)	(1,604)	(1,951)	(2,187)	(2,240)	(2,553)	(2,623)	(2,723)	(2,861)
Direct Interest expensed	-	-	-	-	-	-	-	-	-	-	-	-	-
Goodwill Write-off	(10)	(7)	-	-	-	-	-	-	-	-	-	-	-
Other income	18	18	11	40	12	12	26	16	79	108	102	28	-
Homebuilding Profit	**1,011**	**1,256**	**1,476**	**1,951**	**1,894**	**2,640**	**4,805**	**6,919**	**5,218**	**5,437**	**4,102**	**3,555**	**3,611**
Land Sales, Forestar & Rental:													
Sales and Other	90	79	88	191	226	165	448	823	3,018	2,015	1,977	1,299	1,391
Cost of Sales	(82)	(68)	(75)	(199)	(158)	(68)	(243)	(403)	(2,206)	(1,479)	(1,618)	(1,077)	(1,040)
Forestar, Land, Rental Profit	**8**	**10**	**14**	**(9)**	**69**	**98**	**205**	**421**	**812**	**537**	**360**	**222**	**351**
Financial Services:													
Revenues	265	296	350	375	442	585	824	795	801	883	841	843	882
G&A Expense		(217)	(251)	(273)	(293)	(365)	(488)	(548)	(595)	(672)	(652)	(650)	(659)
Interest Exp. and other income		8	15	15	18	25	29	43	77	101	89	57	40
Fin. Services Profit	**105**	**87**	**113**	**118**	**166**	**245**	**365**	**291**	**283**	**311**	**279**	**250**	**263**
Early Debt Retirement Chg.	-	-	-	-	-	-	(18)	-	-	-	-	-	-
Total Pre Tax Income	**1,123**	**1,353**	**1,602**	**2,060**	**2,129**	**2,983**	**5,356**	**7,630**	**6,313**	**6,285**	**4,740**	**4,028**	**4,225**
Income Taxes	(373)	(467)	(564)	(598)	(507)	(603)	(1,165)	(1,734)	(1,520)	(1,479)	(1,119)	(985)	(1,035)
Non-controlling interest	-	-	-	(2)	(2)	(7)	(15)	(38)	(50)	(50)	(36)	(32)	(38)
Net Income	**751**	**886**	**1,038**	**1,460**	**1,620**	**2,374**	**4,176**	**5,858**	**4,744**	**4,757**	**3,585**	**3,011**	**3,152**
Diluted EPS	**$2.03**	**$2.36**	**$2.74**	**$3.81**	**$4.29**	**$6.41**	**$11.41**	**$16.51**	**$13.82**	**$14.34**	**$11.57**	**$10.50**	**$11.38**
Diluted Share Count (AVG.)	370	375	379	383	377	370	366	355	343	332	310	287	277

Source: Barclays Research Estimates, Company Data

Analyst(s) Certification(s):
I, Matthew Bouley, hereby certify (1) that the views expressed in this research report accurately reflect my personal views about any or all of the subject securities or issuers referred to in this research report and (2) no part of my compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this research report.

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Primary Stocks (Ticker, Date, Price)
D.R. Horton Inc. (DHI, 20-Apr-2026, USD 153.34), Equal Weight/Positive, CD/CE/J/K/M

Materially Mentioned Stocks (Ticker, Date, Price)
Lennar Corp. (LEN, 20-Apr-2026, USD 94.12), Underweight/Positive, CD/CE/D/J/K/L/M

Toll Brothers Inc. (TOL, 20-Apr-2026, USD 147.29), Underweight/Positive, CE/FA/J

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Stock Rating
Overweight - The stock is expected to outperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

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Underweight - The stock is expected to underperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

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U.S. Homebuilding & Building Products

Advanced Drainage Systems Inc. (WMS)	Builders FirstSource Inc. (BLDR)	Champion Homes, Inc. (SKY)
Compass Inc. (COMP)	Core & Main, Inc. (CNM)	D.R. Horton Inc. (DHI)

Ferguson Enterprises Inc. (FERG)	Fortune Brands Innovations, Inc. (FBIN)	Hillman Solutions Corp (HLMN)
James Hardie Industries plc (JHX)	JELD-WEN Holding, Inc. (JELD)	KB Home (KBH)
Latham Group, Inc. (SWIM)	Lennar Corp. (LEN)	Louisiana-Pacific Corp. (LPX)
Masco Corp. (MAS)	Mohawk Industries Inc. (MHK)	Owens Corning Inc. (OC)
PulteGroup Inc. (PHM)	SiteOne Landscape Supply Inc. (SITE)	Taylor Morrison Home Corp. (TMHC)
Toll Brothers Inc. (TOL)	Trex Company, Inc. (TREX)	

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D.R. Horton Inc. (DHI / DHI)

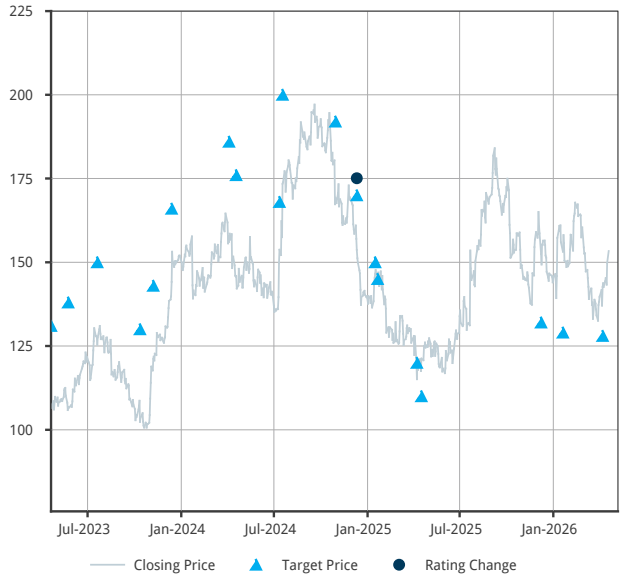
Stock Rating: **EQUAL WEIGHT**

Industry View: **POSITIVE**

Closing Price: **USD 153.34** (20-Apr-2026)

Rating and Price Target Chart - USD (as of 20-Apr-2026)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
08-Apr-2026	137.07		128.00
20-Jan-2026	155.96		129.00
08-Dec-2025	158.62		132.00
17-Apr-2025	121.25		110.00
08-Apr-2025	120.81		120.00
21-Jan-2025	147.65		145.00
16-Jan-2025	145.41		150.00
11-Dec-2024	157.00	Equal Weight	170.00
30-Oct-2024	169.29		192.00
18-Jul-2024	173.42		200.00
12-Jul-2024	149.73		168.00
18-Apr-2024	145.74		176.00
04-Apr-2024	155.65		186.00
13-Dec-2023	139.80		166.00
07-Nov-2023	121.17		143.00
12-Oct-2023	107.20		130.00
20-Jul-2023	125.42		150.00
24-May-2023	105.89		138.00

On 21-Apr-2023, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 131.00.

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our $140 price target reflects 1.6x our FY'26e book value of $85.52. We believe this valuation is justified as we think higher for longer rates and incentives could pressure margins and demand, supportive of a more balanced risk/reward valuation.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Downside risks include: (1) challenged affordability due to unfavorable mortgage rates further straining first time buyers; (2) heightened competition at the entry-level reduces the profitability of this buyer segment; (3) labor market tightness results in community opening delays; (4) gross margin compression from incentives, rising land prices, and labor costs; (5) multiple contraction if demand softens. Risks to the upside include: (1) corporate tax reform, which could drive homebuilder earnings power; (2) healthy balance sheet driving increased share repurchase activity; (3) existing home inventory levels remain at low absolute levels, which could support home price appreciation; 4) pent-up housing demand could play out in the Spring selling season; (5) sustained interest rate relief spurs incremental demand for the affordable entry level buyer.

Lennar Corp. (LEN / LEN)

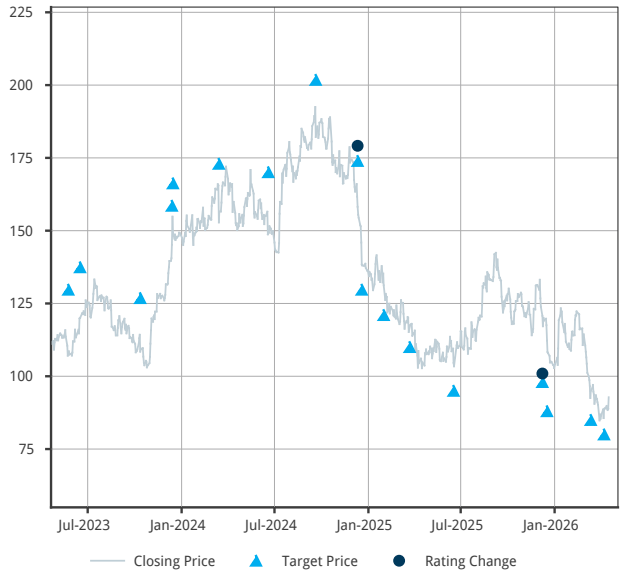
Stock Rating: **UNDERWEIGHT**

Industry View: **POSITIVE**

Closing Price: **USD 94.12** (20-Apr-2026)

Rating and Price Target Chart - USD (as of 20-Apr-2026)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
08-Apr-2026	85.62		80.00
13-Mar-2026	92.54		85.00
17-Dec-2025	112.23		88.00
08-Dec-2025	120.71	Underweight	98.00
17-Jun-2025	104.61		95.00
23-Mar-2025	115.22		110.00
31-Jan-2025	131.24		121.00
19-Dec-2024	132.99		129.73
11-Dec-2024	151.98	Equal Weight	173.93
20-Sep-2024	184.93		201.80
19-Jun-2024	142.91		170.08
14-Mar-2024	146.89		172.97
15-Dec-2023	143.45		166.24
13-Dec-2023	139.49		158.55
12-Oct-2023	104.22		126.84
16-Jun-2023	115.33		137.41
24-May-2023	103.68		129.73

On 21-Apr-2023, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 115.31.

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our $80 price target reflects a P/BV multiple of 1.1x our FY'26e book value of $78.24 per share. We believe this valuation is justified as higher for longer rates and incentives should pressure margins and demand.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to the upside include the following: (1) corporate tax reform, which could drive homebuilder earnings power; (2) third-party land spin-off supportive of a materially stronger returns profile; (3) healthy balance sheet driving increased share repurchase activity; (4) existing home inventory levels remain at low absolute levels, which could support home price appreciation; (5) pent-up housing demand could play out in the Spring selling season; (6) Sustained interest rate relief spurs incremental demand for the affordable entry level buyer.

Toll Brothers Inc. (TOL / TOL)

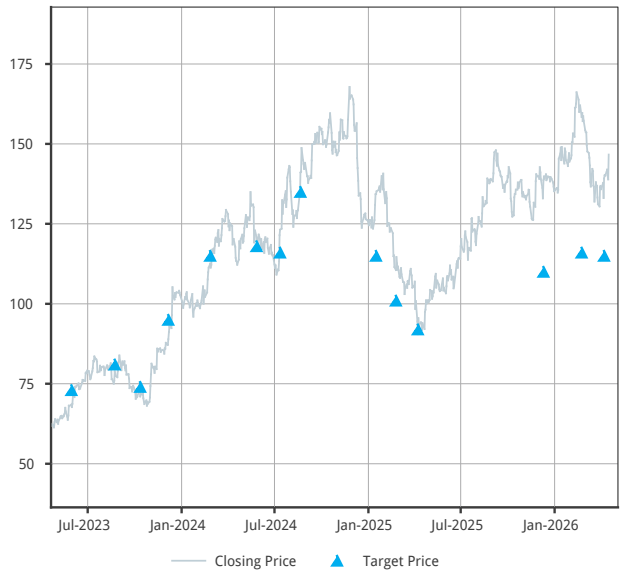
Stock Rating: **UNDERWEIGHT**

Industry View: **POSITIVE**

Closing Price: **USD 147.29** (20-Apr-2026)

Rating and Price Target Chart - USD (as of 20-Apr-2026)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
08-Apr-2026	133.09		115.00
23-Feb-2026	162.00		116.00
10-Dec-2025	132.98		110.00
08-Apr-2025	94.52		92.00
24-Feb-2025	111.48		101.00
16-Jan-2025	134.23		115.00
21-Aug-2024	141.03		135.00
12-Jul-2024	121.47		116.00
27-May-2024	122.91		118.00
26-Feb-2024	111.30		115.00
06-Dec-2023	88.90		95.00
12-Oct-2023	74.14		74.00
23-Aug-2023	78.85		81.00
30-May-2023	68.50		73.00

On 21-Apr-2023, prior to any intra-day change that may have been published, the rating for this security was Underweight, and the adjusted price target was 58.00.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

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Valuation Methodology: Our $115 price target reflects 1.2x our CY'26e book value of $96.63. We feel this multiple is justified due to TOL's lower relative ROE vs. industry leading peers, greater margin volatility reflecting its movement toward spec, and less favorable geographic / demographic and land exposure.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: (1) Softer demand trends at the high-end; (2) additional price cuts at TOL's higher-end price points relative to the more affordable end of the market; (3) inability to boost absorptions depressing ROTE. Upside risks include a lower interest rate environment driving improved demand, recovery in spec margins with lower incentives, and high-end buyer resiliency.

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U.S. Homebuilding & Building Products

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